SUMMARY · MK 5 DECISION MAKING & NEGOTIATION · WEEK 9

The Negotiation Dilemma: Creating and Claiming Value

Every negotiation contains a tension between creating value (expanding the pie) and claiming value (taking a slice). This week compares two negotiator mental models — naïve/competitive (win-lose, positions, single issue, take-it-or-leave-it) and expert/cooperative (win-win, interests, multiple issues, multiple offers, long term) — then uses a payoff matrix and the prisoner's dilemma to explain why two rational parties can end up with an outcome bad for both. The way out is the Tit for Tat strategy and its six principles (start cooperatively, be provocable, be forgiving, keep it simple, offer conciliatory gestures, eliminate envy), illustrated by the Food Lion vs Winn-Dixie and Big Star price war.

Material

1 Two mental models of negotiators

	Naïve · *claiming value* model (COMPETITIVE)	**Expert · *creating value* model (COOPERATIVE)**
Orientation	Win/lose	Win/win
Strategy	Positional, distributive; power-based	Principle-based; interest-based
Goal	Slice the pie	Expand the pie, *then* slice it
Approach	Single issue; sequential bargaining	Multiple issues; discussed simultaneously
Offers	Single offers; take-it-or-leave-it	Multiple offers
Outlook	Short-term; no future relationship	Long-term; build the relationship

Note the word "*then*": expert negotiators still claim value — but after expanding the pie. That is what separates "cooperative" from "giving in".

≡ **An example of expanding the pie**

A buyer and supplier fight over price (one issue → competitive). If more issues are added — volume, payment terms, contract length, warranty — each can give on what is cheap for them but valuable to the other (the supplier needs fast payment; the buyer needs a longer warranty). Both end up better off than fighting over price alone. This is called **logrolling**, and it only works when several issues are discussed together.

The negotiator's dilemma (Lax & Sebenius): to create value you need to share information about your interests; but that information can be used by the other side to claim value from you. Too open → exploited; too closed → win-win chances lost. The next sections explain the game logic behind this dilemma.

2 Possible negotiation outcomes: the payoff matrix

Two players each choose **cooperative (Coop)** or **competitive (Comp)**. Numbers = payoffs (Player 1, Player 2), ranked 1 < 2 < 3 < 4.

	P2: Coop	P2: Comp
P1: Coop	3, 3	1, 4
P1: Comp	4, 1	2, 2

1. **Competitive vs cooperative** — the competitive player wins: the cooperative side tends to accept every demand to reach agreement, a bad deal for them (4, 1).
2. **Competitive vs competitive** — neither gives in, so no agreement or someone walks away (2, 2).
3. **Cooperative vs cooperative** — both reach a mutually acceptable agreement (3, 3).

! **The heart of the dilemma**

From P1's view: if P2 cooperates, Comp gives 4 > 3; if P2 competes, Comp gives 2 > 1. So Comp is always individually better (a *dominant strategy*). The same logic holds for P2. Both compete → (2, 2), though (3, 3) is better for *both*. Individually rational, collectively bad.

3 The prisoner's dilemma: Bob and Al

1Bob and Al robbed a bank together.

2A few weeks later they were caught by the police.

3The police had no strong evidence for the robbery — only enough to jail them for an illegal weapon.

4They are isolated in two rooms and interrogated separately to get evidence for the robbery.

Each is offered: **confess** (= not cooperating with the partner / defect) or **keep quiet** (= cooperate).

Years in prison (Bob, Al)	Al confesses	Al keeps quiet
Bob confesses	10, 10	0, 20
Bob keeps quiet	20, 0	1, 1

- One confesses, the other keeps quiet → the confessor goes free, the other gets 20 years.
- Both confess → 10 years each.
- Both keep quiet → 1 year each (illegal weapon).

Bob's analysis: if Al confesses, confessing gives 10 years (vs 20); if Al keeps quiet, confessing gives 0 (vs 1). Confessing is always better for Bob — and for Al. Result: both confess and get 10 years each, though staying quiet would have meant only 1.

Link to negotiation
"Confess" = aggressively claiming value; "keep quiet" = cooperating to create value. Without trust and without repeated interaction, both sides

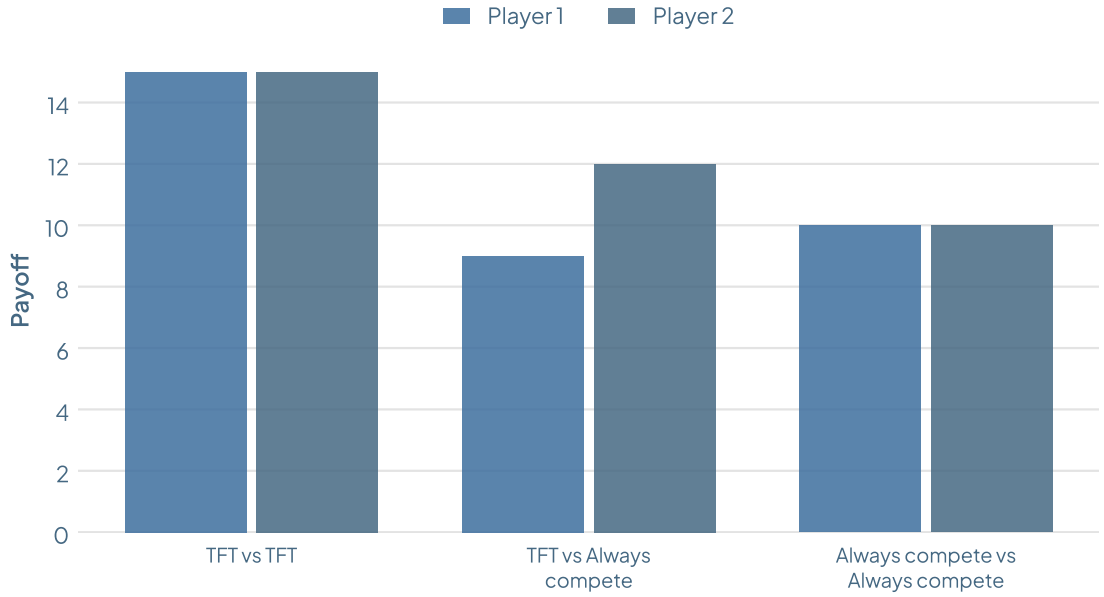
tend to claim — and the pie that could have grown never does. The key: many business negotiations are **repeated** (suppliers, partners, colleagues), so reputation and the other side's reactions matter.

4 Tit for Tat: the winning strategy

Tit for Tat: start cooperatively, then mimic what the other party did in the previous move. It manages the tension between creating and claiming value: *claim only if the other party did so in the previous move*.

In Robert Axelrod's computer tournaments (1980s), Tit for Tat — the simplest strategy submitted — earned the highest total score against many other strategies in the repeated prisoner's dilemma. Interestingly, Tit for Tat *never* beats its opponent in a single match; it wins by consistently reaching cooperative outcomes with many parties.

Total payoff over 5 rounds (3/1/4/2 matrix)



TFT loses narrowly to an always-competitive player (9 vs 12), but two TFT players get 15 each — far above the 10 each for two competitive players. Our worked example, not from the slides.

#	Principle	What it means in negotiation

1	**Start cooperatively**	Give a positive message; don't be the first to shoot or turn competitive. If you start cooperatively, the other side will believe you want to keep cooperating, so they are more likely to cooperate back.
2	**Be provocable**	Show that negative behaviour has consequences. If the other team fires off a non-cooperative message, reply with one that doesn't escalate but shows you won't be a doormat.
3	**Be forgiving**	As soon as the other side shows any sign of conciliation or cooperation, shift back to cooperation immediately.
4	**Keep it simple**	To build cooperation you must be clear. The other side must be able to read your pattern easily.
5	**Put forth conciliatory gestures**	Even if locked in a negative pattern, keep offering olive branches — send a cooperative message periodically to see if the other side will switch.
6	**Eliminate envy**	Never take advantage of the other party's strategy; encourage them to cooperate. Judge success by your own outcome, not by whether you "beat" the other side.

5 The Food Lion price war: principles 2 and 3 in action

Food Lion cuts prices → Winn-Dixie & Big Star are badly hurt

→ They retaliate + show proof of strength, while offering to meet (principle 2: be provocable)

→ Food Lion returns prices to normal

→ Winn-Dixie & Big Star return to normal too (principle 3: be forgiving)

Why it worked: Winn-Dixie and Big Star's response had three elements at once — (1) a credible consequence (they could win a price war), (2) no endless escalation (an offer to meet), and (3) an immediate return to cooperation once Food Lion backed off. Without the first, Food Lion had no reason to stop; without the third, the price war could drag on and hurt everyone (the 2, 2 outcome in the matrix).

Note

In a competition context, price coordination between rivals can breach competition law (in Indonesia: Law No. 5 of 1999). The lesson here is about the *response pattern* (provocable then forgiving), not a recommendation to agree prices with competitors.

6 Applying it in real negotiations

Situation	A Tit-for-Tat-style response
Opening with a new partner	Start by sharing some interests (not your bottom line) and propose several packages at once.
The other side suddenly issues an ultimatum	Calm but firm: "We want a deal, but we also have alternatives" — no insults, no excessive escalation.
The other side backs off a hard stance	Reciprocate at once with an equivalent small concession; don't keep "punishing".
A long deadlock	Offer a conciliatory gesture: a new issue, a pause, or a symbolic offer to open the way.
You land a good deal	Don't squeeze until the other side feels beaten; the long-term relationship is worth more (eliminate envy).

Link to BATNA and ZOPA (week 8): "be provocable" is only credible if you have a decent BATNA. A negotiator with no alternative is forced to keep cooperating and is easily exploited — the (1, 4) position in the matrix.

Key takeaways

1. Every negotiation holds a tension between creating value (expanding the pie) and claiming value (slicing it).
2. Naïve/competitive model: win-lose, positional, single issue, take-it-or-leave-it, short-term.
3. Expert/cooperative model: win-win, interest-based, multiple issues at once, multiple offers, long-term — expand the pie, then slice it.
4. Payoff matrix: Coop-Coop (3,3), Comp-Coop (4,1), Comp-Comp (2,2). Comp is the individually dominant strategy, yet the joint result is poor.
5. Prisoner's dilemma: both confess (10,10) though both staying quiet gives only (1,1).
6. Repeated interaction changes the game: reputation and the other side's reactions matter.
7. Tit for Tat: start cooperatively, then copy the other party's previous move.
8. Six principles: start cooperatively, be provocable, be forgiving, keep it simple, conciliatory gestures, eliminate envy.
9. Food Lion: a credible response + an offer to meet (provocable), then back to normal when the rival retreated (forgiving).
10. "Be provocable" is only credible with a decent BATNA.

Case studies

Worked examples

Problem 1 Easy **Finding the dominant strategy**

Two firms choose a High or Low price. Profits (A, B) in IDR billion: High-High (10, 10); A Low-B High (14, 4); A High-B Low (4, 14); Low-Low (6, 6). Is there a dominant strategy? What is the outcome, and is it best for both?

1. For A: if B goes High, Low gives 14 > 10. If B goes Low, Low gives 6 > 4. → **Low is dominant** for A.
2. The matrix is symmetric, so Low is also dominant for B.
3. Outcome: Low-Low (6, 6) — though High-High (10, 10) is better for both. This is a prisoner's dilemma structure. If the game repeats, Tit for Tat (start High, go Low only if the rival went Low) can sustain (10, 10). *Note: explicit price agreements between rivals are banned by competition law; this is about the game logic.*

Answer: Low is dominant for both → (6, 6), worse than (10, 10).

Problem 2 Medium **Tit for Tat in a repeated game**

Use the slide matrix: Coop-Coop (3,3), Comp-Coop (4,1), Coop-Comp (1,4), Comp-Comp (2,2). Play 5 rounds. Compute total payoffs for: (a) TFT vs TFT, (b) TFT vs Always Compete (AC), (c) AC vs AC.

1. (a) TFT vs TFT: both start Coop and copy each other → Coop every round → 5 × 3 = **15 each**.
2. (b) Round 1: TFT Coop, AC Comp → TFT 1, AC 4. Rounds 2–5: TFT copies Comp → (2,2) × 4. TFT = 1 + 8 = **9**; AC = 4 + 8 = **12**.
3. (c) AC vs AC: (2,2) × 5 = **10 each**.
4. TFT loses only once (round one), then protects itself, and with fellow cooperators earns 15 — the highest. That is why TFT wins in total in Axelrod's tournaments despite never beating an opponent in a single match.

Answer: (a) 15/15; (b) TFT 9, AC 12; (c) 10/10.

Practice questions

Try answering first. The answer key is below each question.

1. The goal of a negotiator with a "creating value" mental model is…

A. Slice the pie fast
B. Expand the pie, then slice it
C. Win as much as possible
D. Avoid conflict by giving in

Answer: B. Experts still claim value, but after expanding the pie.

2. A feature of the naïve/competitive approach is…

A. Many issues at once
B. Single issue, sequential bargaining, take-it-or-leave-it
C. Building a long-term relationship
D. Multiple offers

Answer: B. The other three describe the cooperative model.

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3. Why does discussing many issues at once help create value?

A. To make it longer
B. It allows trading issues cheap for one side but valuable to the other (logrolling)
C. To confuse the other side
D. To raise prices

Answer: B. One issue = zero-sum; many issues = room to trade.

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4. In the payoff matrix, if P1 competes and P2 cooperates, the result is…

A. 3, 3
B. 4, 1
C. 2, 2
D. 1, 4

Answer: B. The competitor wins; the cooperator accepts a bad deal.

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5. Both sides compete. The most likely result is…

A. A mutually beneficial deal
B. No agreement or someone walks away (2, 2)
C. One side wins big
D. The pie grows

Answer: B. Neither wants to give in.

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6. Why is "compete" called a dominant strategy in that matrix?

A. It always gives the best joint result
B. Whatever the other chooses, competing gives a higher individual payoff
C. It is easier
D. The other side surely cooperates

Answer: B. 4 > 3 and 2 > 1 — but the joint result (2,2) is worse than (3,3).

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7. In the prisoner's dilemma, if Bob confesses and Al keeps quiet…

A. Both get 10 years
B. Bob goes free, Al gets 20 years
C. Both get 1 year
D. Bob gets 20, Al goes free

Answer: B. The confessor goes free; the quiet one gets 20 years.

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8. The individually rational outcome in a one-shot prisoner's dilemma is…

A. Both quiet (1,1)
B. Both confess (10,10)
C. One confesses, one quiet
D. Cannot tell

Answer: B. Confessing is always individually better, so both confess.

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9. In negotiation terms, "keep quiet" in the prisoner's dilemma equals…

A. Claiming value
B. Cooperating / creating value
C. Walking away
D. An ultimatum

Answer: B. Keep quiet = cooperate; confess = defect.

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10. The Tit for Tat rule is…

A. Always compete
B. Always cooperate
C. Start cooperatively, then copy the other's previous move
D. Random

Answer: C. Claim only if the other side claimed in the previous move.

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11. Answering a non-cooperative message firmly without escalating is the principle…

A. Start cooperatively
B. Be provocable
C. Be forgiving
D. Eliminate envy

Answer: B. Show consequences, don't be a doormat, don't escalate.

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12. Switching back to cooperation as soon as the other side shows conciliation is the principle…

A. Be provocable
B. Be forgiving
C. Keep it simple
D. Conciliatory gestures

Answer: B. Forgiveness prevents an endless revenge cycle.

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13. Periodically sending cooperative messages even when stuck in a negative pattern is the principle…

A. Conciliatory gestures
B. Eliminate envy
C. Be provocable
D. Start cooperatively

Answer: A. Offering olive branches to break the negative pattern.

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14. "Eliminate envy" means…

A. Always beat the other side
B. Don't exploit the other's strategy; judge success by your own outcome
C. Never retaliate
D. Hide information

Answer: B. Tit for Tat wins in total through cooperation, not by beating opponents.

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15. In the Food Lion case, Winn-Dixie and Big Star returning to normal prices after Food Lion retreated shows the principle…

A. Be provocable
B. Be forgiving
C. Keep it simple
D. Start cooperatively

Answer: B. First retaliation (provocable), then quick peace (forgiving).

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16. Over 5 rounds, TFT against an always-competitive player (3/1/4/2 matrix) scores…

A. 5
B. 9
C. 12
D. 15

Answer: B. Round 1: 1 (exploited), rounds 2–5: $2 \times 4 = 8 \rightarrow$ total 9; opponent $4 + 8 = 12$.

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17. "Be provocable" is only credible if the negotiator…

A. Is more senior
B. Has a decent BATNA
C. Speaks first
D. Hides their interests

Answer: B. Without an alternative, threats aren't believed and you are easily exploited.

Sources

- P3MD Week 9 MK5 — Negotiation Dilemma: Creating and Claiming Value (© Utomo S. Putro)
- Axelrod, R. — The Evolution of Cooperation (1984); Lax & Sebenius — The Manager as Negotiator (1986) (supporting)